

FULL NARRATIVE

NovaTech Consulting Lda. — Full FP&A Narrative

Variance Analysis: Actual 2024 vs Budget 2025

1. Executive Summary

Actual performance for 2024 came in below the 2025 budget across revenue, costs, and EBITDA.

The variance pattern is consistent and proportional, indicating that the shortfall is volume-driven, not efficiency-driven.

Operational discipline remained strong, with costs adjusting naturally to lower activity levels.

There is no evidence of overspend, inefficiency, or unexpected operational deviations.

2. Revenue Analysis

2.1 Consulting Fees

Consulting revenue finished 8.6% below budget.

The shortfall is uniform across all months, suggesting a structural issue rather than a seasonal one. Likely drivers include lower productive capacity (FTEs below plan), fewer billable hours, or billing rates below budget assumptions.

2.2 Managed Services

Managed Services revenue also came in 8.6% below budget.

Given that MS is recurring and stable, a uniform negative variance typically reflects contract renewals below budgeted values, unplanned churn, or a weaker MS pipeline than anticipated.

2.3 Total Revenue

Total revenue shortfall reached €248,700.

Because both revenue lines show the same percentage variance, we conclude that the deviation is purely volume-driven. The company operated below the activity level assumed in the budget.

3. Cost Analysis

3.1 Personnel

Personnel costs were 8.6% below budget.

This does not represent true savings — it reflects lower headcount and reduced activity.

3.2 Operations

Operations costs were 8.6% below budget, scaling appropriately with activity.

No signs of inefficiency or overspend.

3.3 Other Costs

Other costs were 8.5% below budget, slightly less proportional due to a small fixed component, but still aligned with the reduction in activity.

3.4 Total Costs

Total costs moved in line with revenue, demonstrating strong cost control and operational discipline.

4. EBITDA Analysis

4.1 EBITDA (€)

EBITDA came in below budget in absolute terms.

The deviation is almost entirely due to lower activity levels.

The cost structure remained efficient, but the company did not generate enough revenue to support the planned margin.

4.2 EBITDA Margin (%)

EBITDA margin fell short of budget because lower revenue reduced the ability to absorb fixed costs.

Operational efficiency remained stable; margin compression is a direct consequence of the revenue shortfall.

5. Final Executive Conclusion

The negative variance is volume-driven.

The company operated below the planned activity level, reducing revenue and consequently EBITDA.

Costs adjusted proportionally, demonstrating strong operational discipline.

The issue is top-line, not bottom-line.